systems can be used for AI (artificial intelligence)-based facial recognition, number plate recognition and object recognition. Lt Gen. Vinod Bhatia (retd), former director general of military operations (DGMO), suggests that AI facial recognition systems can be integrated with IP cameras—those that transmit and receive data over a network or the internet—used in CCTVs and can be used for surveillance. Using immediate facial detection, the system can easily identify regular personnel, VIPs and strangers, and upload recognition records to the platform. Such data in the wrong hands can seriously compromise security.

CLEAR AND PRESENT DANGER

Internationally too, many countries have imposed bans against Chinese-made CCTV cameras. Amidst fears of Chinese espionage, the US Federal Communication Commission banned and blacklisted both companies in the US, citing national security threats. The United States Department of Defense described Hikvision, along with 26 other firms, as being "either owned or controlled by the Chinese military". In fact, in August 2020, the US had invoked the National Defense Authorization Act and prohibited government agencies from purchasing video surveillance products from Hikvision.

THE FINANCE MINISTRY'S RULE TO STOP UNREGULATED IMPORT OF CHINESE GOODS HAS NOT BEEN EFFECTIVE. CHINESE FIRMS STILL DO BUSINESS THROUGH SALES TO INDIAN COMPANIES AT LOW RATES

Days after the UK government banned Chinese surveillance cameras in November 2022, Hikvision stated it was "categorically false" to portray it as a security threat and the Chinese foreign ministry issued vehement denials. The latest country to sound the tocsin has been Australia. On February 9 this year, it announced that it would remove Chinese CCTV cameras from defence sites over fears of espionage. The move came after an audit found 900 surveillance cameras made by Hikvision and Dahua on government buildings. Hikvision reacted to Australia's move in a similar manner, emphasising that it wasn't a security threat to Australia, and that it couldn't access video data of end-users.

Though unrelated to surveillance cameras, the shooting down of a Chinese "spy balloon" by the US on February 4 shows how concerned the West is about international surveillance programmes run by Chinese 'military-civil fusion entities'. The US alleged the balloon was monitoring multiple defence sites; China said it was used for scientific and meteorological purposes and had entered US airspace accidentally. After examining debris from the balloon, the US has now added five Chinese firms and a research institute connected to Beijing's suspected surveillance balloon programme to an export blacklist.

In India, following the incursion by Chinese troops in Ladakh in May 2020 and the subsequent clash in Galwan valley in June, the ministry of finance's department of expenditure issued GFR (General Finance Rule)144 xi on July 23, 2020, to ensure that Chinese firms do not directly or through their Indian/ Chinese subsidiaries participate in procurements without prior registration with the department for promotion of industry and internal trade (DPIIT). The GFR applies to all states, central departments, public institutions as well as Chinese firms, their Indian subsidiaries and their branches or agencies. However, security insiders claim that the Chinese CCTV industry has found innovative means to circumvent the barrier and continues to supply to India, especially for government installations. To circumvent the finance ministry's order, Chinese firms often plan indirect participation through sales to local companies by way of semi-knockdown kits at low rates. Domestic importers or distributors that regularly appear on GeM (Government e-Marketplace) have also started importing Chinese goods indirectly from Taiwan, Vietnam, Thailand, Singapore, Indonesia, Dubai and the Philippines. In short, though awareness—and suspicion—of widespread espionage through VSS does exist in security circles, the laws are too general to combat it.

THE BACKDOOR ENTRY

Chinese government-owned companies like Hikvision and Dahua supply CCTVs in the form of either finished or semi-finished (with almost 90 per cent of the components from China) products to all Indian domestic brands. They also supply VSS hardware and software to the Indian market through their Indian subsidiaries, joint ventures or distributors. And, according to the China Intelligence Law, 2017, a legal provision enforced by the People's Republic of China, these companies are duty-bound to share all their data with the Chinese state intelligence agencies.

India's exposure to these firms is alarmingly widespread—it ranks seventh in the list of countries that have the most Hikvision and Dahua surveillance camera net-